

Prime Perspective: A mark-to-market on HF performance, Exposures, and Recent Tech Flows

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Performance Update: As of noon EST today (7/28), we are tracking Fundamental L/S down 1.3%, Systematic L/S down 1.0%, and Multi-Strats down 1.7% (TY Kartik Singhal, Marco Laicini & Prime Strats team, [link to full note](#))

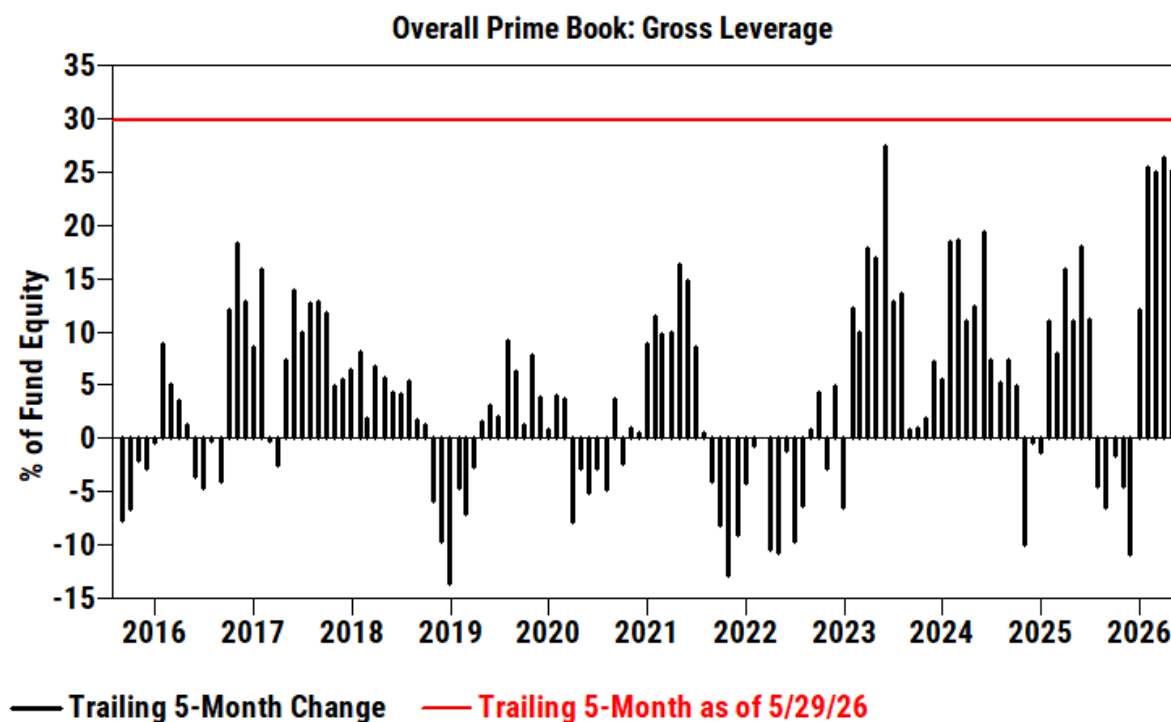
Fundamental L/S down 1.3% (alpha: -0.9%), down 5.9% MTD but still up 11.6% YTD. Today's underperformance primarily across US and Asia with alpha losses driven by the broad momentum sell-off and losses from Korean stocks.

Systematic L/S down 1.0% today, up 0.5% MTD and up 11.8% YTD. Losses were seen across all regions, with momentum the primary factor driving the losses.

Multi-Strats (equity portfolio) down 1.7% today, down 5.4% MTD but still up 11.9% YTD. Losses primarily from Asia exposure. From a factor standpoint momentum drove the losses.

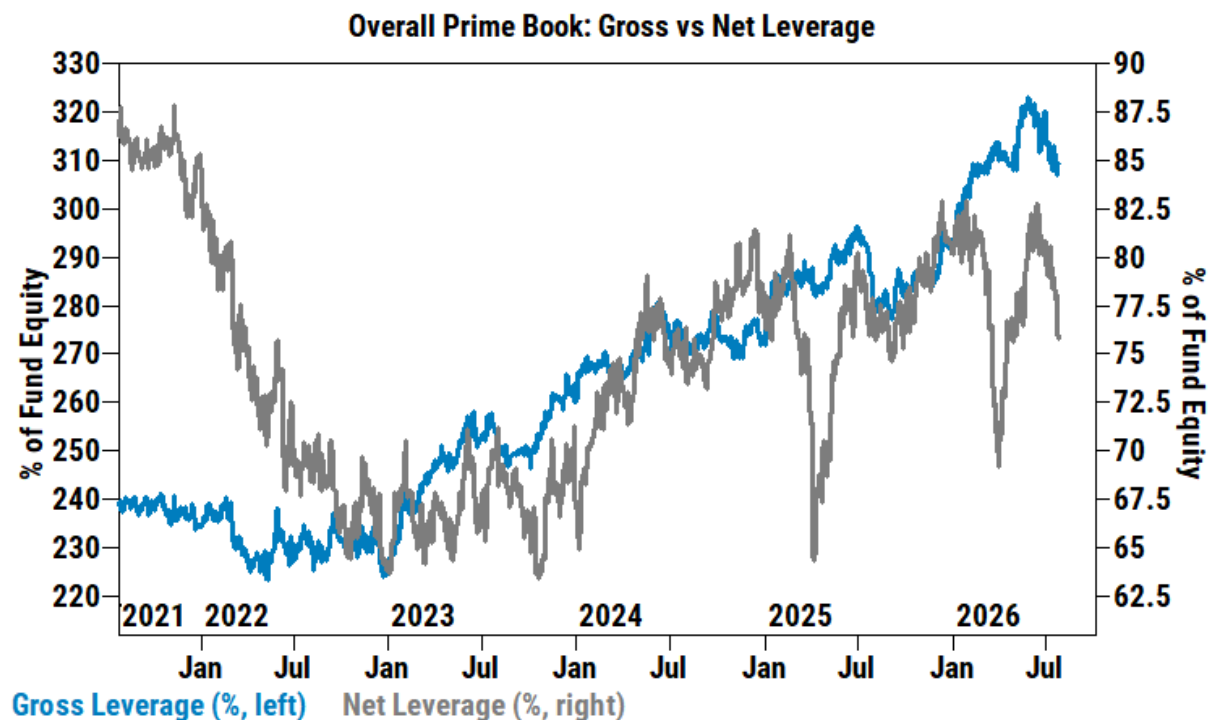
Hedge funds collectively added a lot of gross exposures during the first five months of this year. Gross leverage for the global Prime book increased roughly 30 percentage points through the end of May, the

largest cumulative increase over a 5-month period on our record (since 2016).



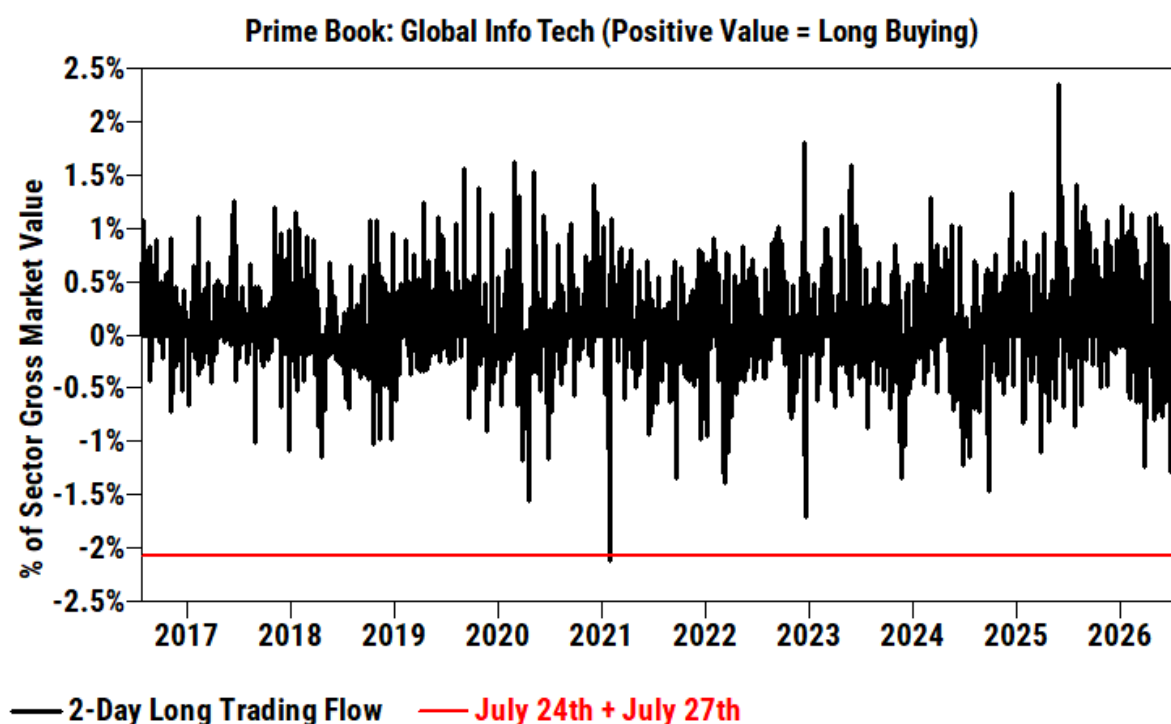
Since the end of May, overall Gross leverage has declined -13.5 pts, reversing ~45% of the YTD increase. Overall Net leverage has seen a notable decline as well by -5.7 pts since the end of May and is now down on the year (-4.4 pts).

As of COB July 27th, overall Gross leverage now stands at 68th/89th/93rd percentiles vs. the past 1-year/3-years/5-years. Overall Net leverage now stands in the 14th/45th/54th percentiles vs. the past 1-year/3-years/5-years.

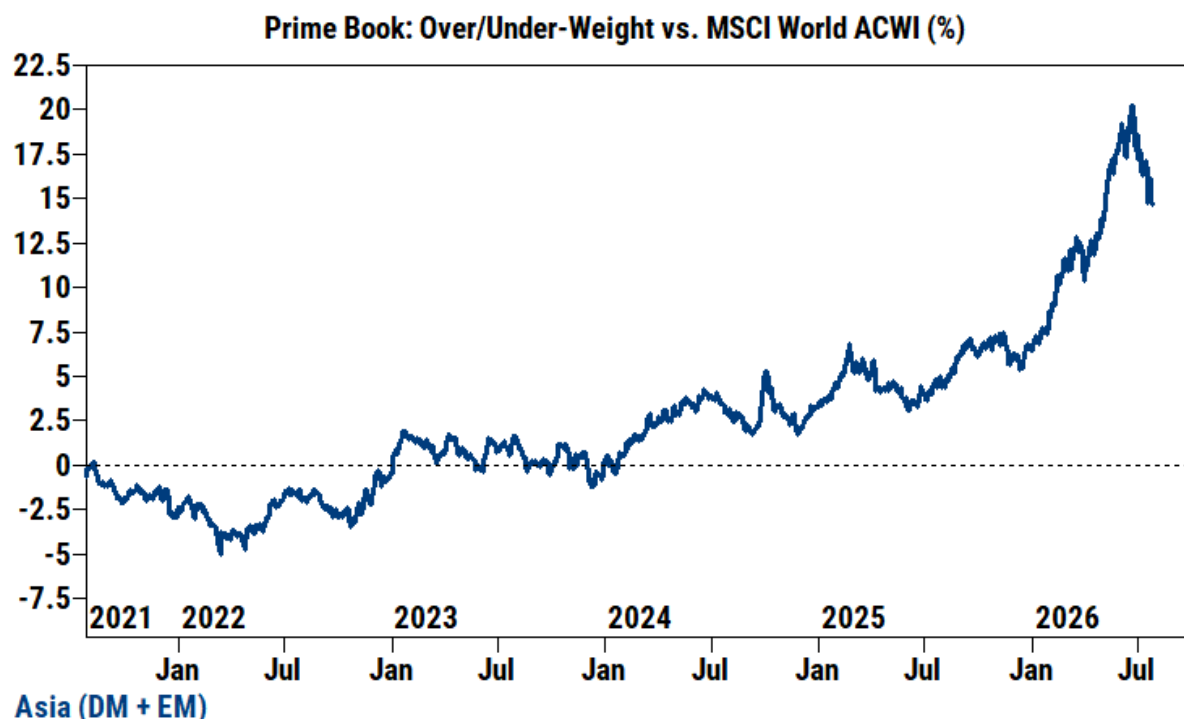


As factor volatility in momentum remains extremely high and concerns on circular financing across the AI infrastructure complex have resurfaced, global Info Tech stocks were significantly net sold on both Friday (7/24) and Monday (7/27), driven mainly by long sales.

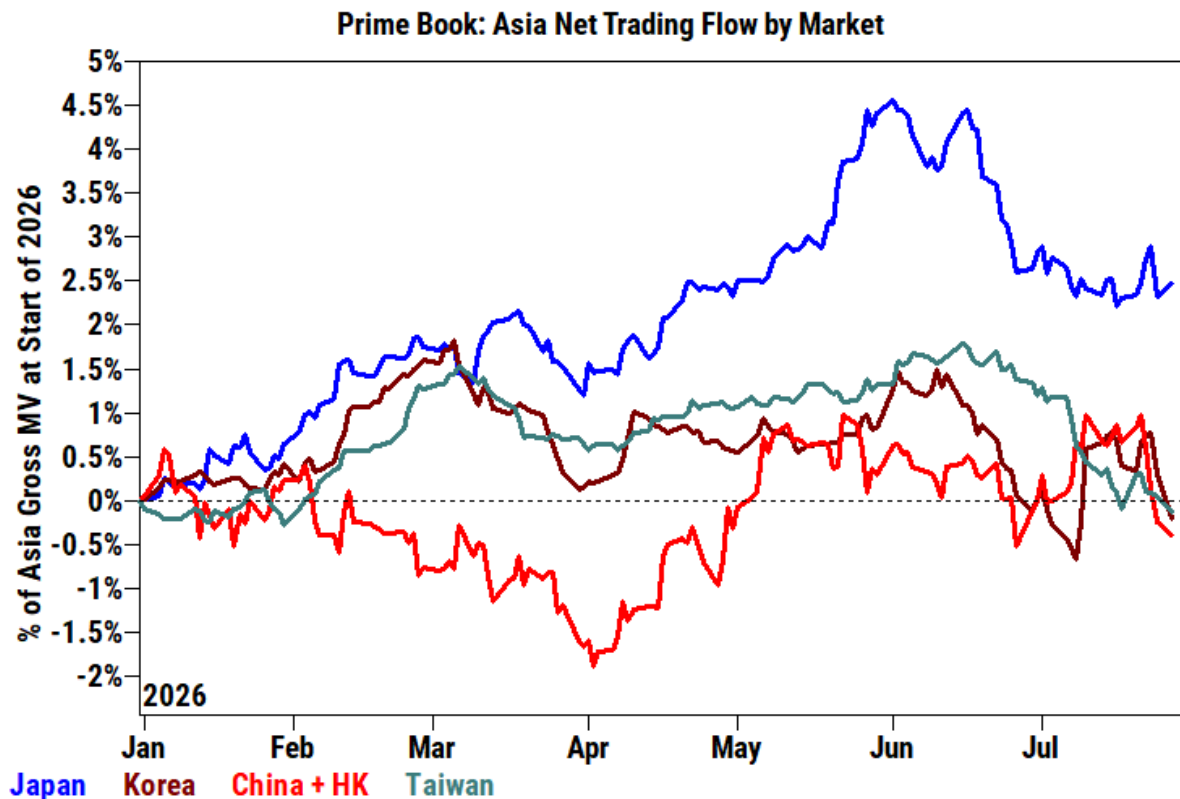
In cumulative % terms over the past two sessions, global Info Tech stocks saw the largest long selling on the Prime book since January 2021 and the second largest long selling in the past decade.



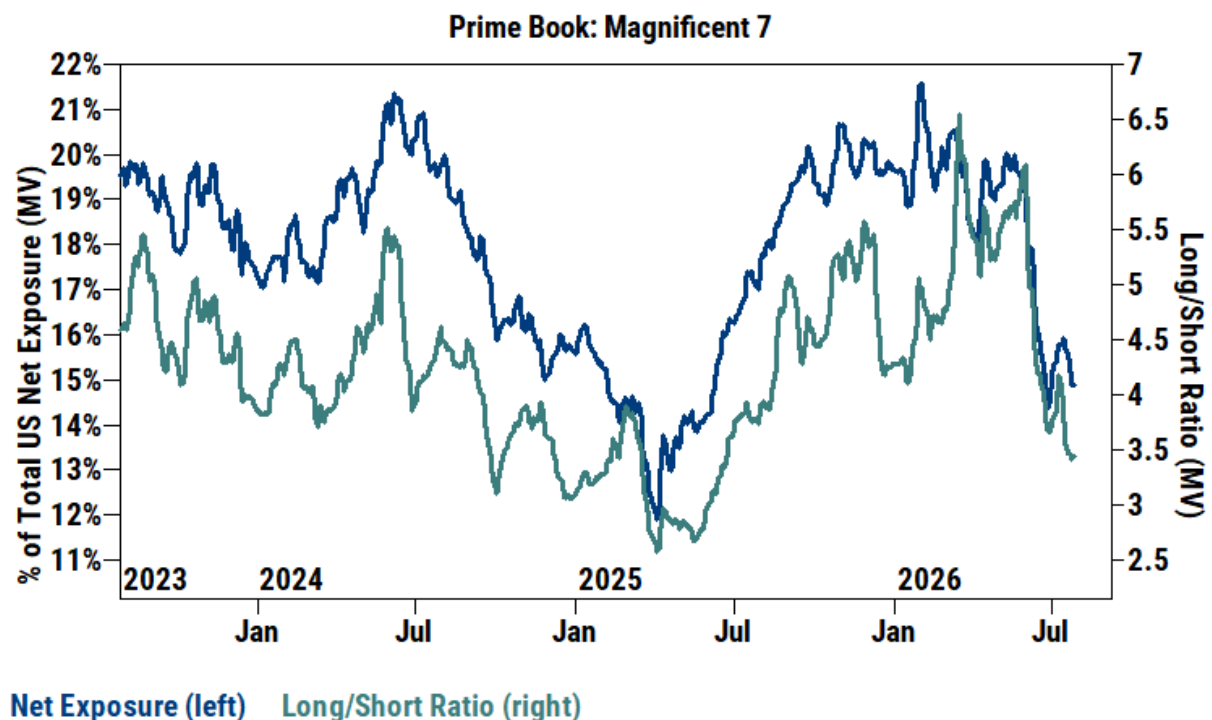
Hedge funds are now O/W Asia equities by +14.6% vs. MSCI World ACWI. For perspective, this metric started this year at +6.5% and had roughly tripled to as high as +20.2% in June.



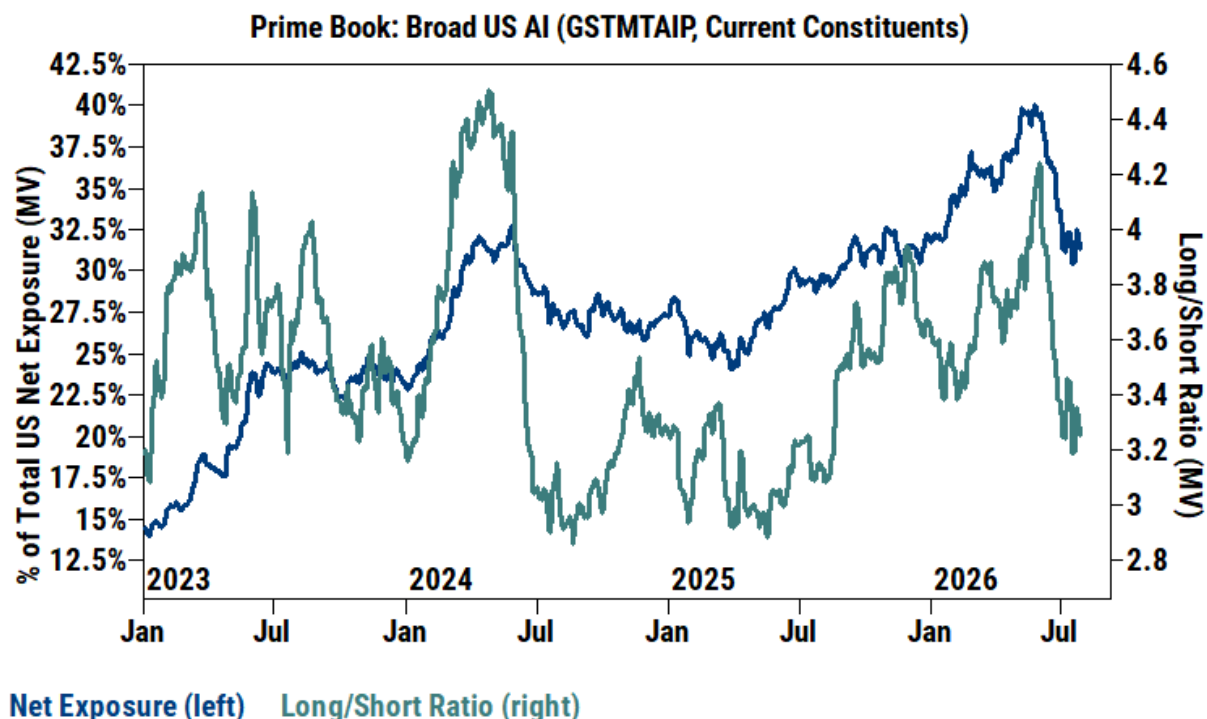
From a trading flow perspective within Asia, Japan, Korea, and Taiwan have all seen significant net selling activity by hedge funds in the past month. It's worth noting that both Korea and Taiwan are now net sold on the year.



Ahead of several megacap tech earnings this week, positioning in Mag7 stocks remains low vs. recent history, with aggregate net exposure and long/short ratio both near 1-year lows in the 3rd percentile (13th and 19th percentiles on a 3-year lookback, respectively).



Aggregate positioning in US AI stocks (GSTMTAIP) has come down sharply since the highs in June where net exposure now stands in the 12th percentile vs. the past year (63rd percentile 3-year), and long/short ratio now stands in the 6th percentile vs. the past year (26th percentile 3-year).



Source for all charts: Goldman Sachs FICC and Equities and Prime Services data as of July 28, 2026. Past performance is not indicative of future results.

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